



ESOP Valuation Advisory Report

ESOP Structuring and Dilution Guide

Prepared for founders and finance leaders who are planning an ESOP and need to manage allocation, valuation, and cap table dilution before making grants.

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Important notice: This guide is general guidance based on assessment responses. It is not a valuation report, audit opinion, legal advice, tax advice, investment advice, or employee communication advice. Formal advice requires a separate engagement and review of source documentation. For legal, tax, audit, or corporate secretarial matters, consult the relevant qualified professional.

Your Assessment Summary

Based on your responses, you are planning to set up an ESOP, and your primary concern is managing allocation, setting the right valuation, or controlling dilution. Getting this right before making commitments is critical. This guide explains how to structure the economics before drafting the legal documents.

Section 01

You cannot manage dilution properly until you know what the equity is worth.

Setting up an Employee Share Option Plan is one of the strongest ways to align key people with the long term success of the business. It gives employees a reason to think like owners, and it allows founders to compete for talent without relying entirely on cash compensation.

But equity is the most expensive currency a founder has. If you issue options before understanding the value of the shares, the size of the option pool, and the dilution impact across future rounds, you risk giving away more of the company than necessary while still failing to create a meaningful retention tool.

This guide explains how formal valuation supports better ESOP structuring, how to think about dilution before making grants, and what to prepare before legal documents are finalized.

Section 02

The Dilution Trap.

Many founders size their option pool using generic startup advice. They hear that a company should reserve 10 percent for employees, so they carve out 10 percent and move on. That sounds simple, but it is a poor way to make an equity decision. A 10 percent pool in a company worth S\$2 million is very different from a 10 percent pool in a company worth S\$20 million. The percentage alone tells you very little. What matters is the economic value being transferred, the seniority of the employees receiving the grants, the probability that the options will become valuable, and how the pool interacts with future fundraising dilution.

When options are issued without a formal valuation, founders usually make one of two mistakes. The first is over allocation. Without a clear dollar value to point to, founders tend to offer larger percentages because the number feels abstract. A senior hire asks for 1 percent, the founder negotiates down to 0.5 percent, and both sides treat the conversation as if the percentage is the value. It is not. The value depends on the current Fair Market Value of the shares and the future growth path of the company.

The second mistake is poor strike price discipline. If the strike price is set too low, founders and investors transfer value unnecessarily. If it is set too high, the options can become underwater and lose their retention value. In both cases, the plan fails because the structure was not anchored to a defensible valuation. A formal ESOP valuation changes the conversation. Instead of granting arbitrary percentages, the company can grant a defined economic value.

Important Note

Do not grant equity in percentages. A 0.5% grant means nothing without a valuation. Always grant a defined dollar value of options.

Section 03

What Good ESOP Structuring Looks Like.

A properly structured ESOP requires more than a legal template. It requires valuation discipline, commercial judgment, and a clear view of how equity will be used over time.

The valuation establishes the Fair Market Value of the underlying shares at the grant date. This value informs the strike price, supports the accounting treatment under SFRS(I) 2 and IFRS 2, and gives auditors, investors, and tax stakeholders a clear basis for assessing whether the grant was priced properly. Where options have complex vesting terms or expected early exercise behaviour, recognised models such as Black Scholes or binomial pricing may be applied to determine the fair value of the options.

Good structuring also requires pool planning. Before making grants, founders should understand how much equity is needed for existing team members, future senior hires, and potential refresh grants. The pool should not be treated as something that must be fully allocated on day one. It should be managed as a finite capital resource.

The stronger approach is to model several scenarios before finalising the plan. What happens if the company raises another round in 12 months? What happens if a senior hire needs a larger grant than expected? What happens if only half the team stays through the vesting period? What happens at a S\$20 million, S\$50 million, or S\$100 million exit? These questions help founders see the dilution impact before commitments are made.

Finally, a good ESOP structure must address liquidity. Options have limited motivational value if employees cannot see a realistic path to converting them into cash. Most companies will rely on a future acquisition, IPO, or secondary transaction. That does not mean liquidity must be immediate, but the company should be able to explain the conditions under which employees may eventually benefit from the plan.

Section 04

Your Specific Opportunity

The advisory gap matters because ESOP decisions compound. A grant that looks small today may become expensive after the next financing round. A strike price that was guessed today may become difficult to defend later.

Many founders try to solve this through cap table management software. That is useful for administration, but it is not valuation advice. Cap table software can track ownership, manage vesting schedules, and record grants. It does not produce an independent valuation report. It does not model the commercial trade offs of different allocation strategies. It does not explain whether the option pool is sized correctly for your hiring plan. It also does not stand in front of your auditor, board, or investors to defend the methodology.

The advisory gap matters because ESOP decisions compound. A grant that looks small today may become expensive after the next financing round. A strike price that was guessed today may become difficult to defend during audit or due diligence. A pool that was sized casually today may force founders to accept avoidable dilution later. By establishing a formal valuation before issuing grants, you create a clean baseline. You can explain the strike price, show how the option pool was sized, model dilution before commitments are made, and communicate the economic value of each grant more clearly. The result is not just a more compliant ESOP. It is a better governed equity strategy.

Section 06

Your Immediate Next Steps.

Before you engage a lawyer to draft your ESOP trust deed, you must structure the economics. Follow these three steps.

Step 1

Map your hiring and retention needs.

Before sizing the pool, identify who is likely to receive options over the next 18 to 24 months. Separate existing employees, future senior hires, and refresh grants. This gives you a practical view of how much equity the business actually needs.

Step 2

Review your current cap table.

Understand existing shareholder dilution, investor rights, reserved pools, and any previous informal promises made to employees or candidates. These details matter because the ESOP cannot be designed in isolation from the broader ownership structure.

Step 3

Complete the valuation before finalising legal documents.

Many founders spend money on legal drafting before the economics are clear. The better sequence is valuation first, commercial structure second, legal documentation third. The valuation informs the strike price, the pool design, and the employee communication plan.

Section 07

Ready to structure your ESOP correctly?

We will walk through your retention goals, explain how the valuation process works, and give you a clear picture of how to protect your cap table from unnecessary dilution.

Book a call with us [here](#).